

Most major European banks provide this service, similar to that of a credit card. In India, Standard Chartered provides this service, but this can be availed of only at select outlets in Mumbai. In most cases a bank ties up with a cellular service provider to provide support for macro-payments.

Another important factor in mobile payments is the way in which the transaction information is delivered. The information could be given using a wireless wide area network or a proximity transfer. A transfer of data using the wireless WAN would be generally used for payments made on the Internet, and this entails sending an SMS and divulging details such as the PIN code. This form of transaction can also be undertaken through a browser-based system. Although there are technical differences between IP and messaging-based communications, payment protocols can operate similarly across both.

Proximity payments involve the use of short-range messaging protocols such as Bluetooth, infrared, RFID, and contact-less chips to pay for goods and services over short distances.

As mentioned earlier the system of mobile payments is still in its infancy, even in most developed countries. The reasons for this are many. The biggest concern in using a mobile for very high-value transactions is security. The limited protection against attacks in the mobile Internet world means this threat will impede the growth of mobile payments systems. Another major problem is interoperability between operators and devices. The large number of mobile service providers and handset manufacturers has resulted in a variety of different standards in the market with limited interoperability.

A number of banks and providers are now working together towards making mobile phone payments the norm. With systems such as GPS being made mandatory in cell phones, the levels of security have been made stronger, and mobile commerce, or m-commerce if we may call it so, seems on its way to assuming the scale of e-commerce.